

U.S. Semiconductors & Semiconductor Capital Equipment

Asia Checks Post Q2 Earnings; NVDA Comes Back A+, SE4 Commentary, 2nd Wave of AI Swelling Again

We checked in with the supply chain and came away more positive on NVDA numbers in the near term. Elsewhere, we are hearing more rumbling about an SE4 coming in early 2025.

NVDA - Q2/Q3 Look Stronger On Strength from Hopper, Blackwell Delay not Impacting Supply Chain Yet: Conversations are encouraging vs. last checks with capacity for Hopper reaching 400K units/month in Q2, earlier than expected (prior end of Q2), with expectations of 600K units/month by the end of Q3 (vs. 500K prior). We would expect some of that capacity is related to the lower end H20, as China sales pick up off the bottom, but even assuming ~15% of the mix and standard utilization rates (new capacity close to 50% utilized, moving to 80% over time) it would point to ~\$3B in upside in July vs. our prior numbers (we raise Compute to \$22.1B from \$20.9B). Looking into October, capacity expansion alone gets you >30% upside vs. our prior Compute numbers, but we've seen that utilization for increased capacity come on a bit slower so we feel comfortable with HSD upside vs. the Street at \$23.4B. As a result we raise our October Compute revenue to \$25.2B vs our prior \$22.2B, reflecting the better-than-expected capacity ramp. CQ1 capacity seems flattish for Hopper, begging the question of how smooth the hand-off can be to Blackwell. As of now, initial samples of Blackwell are already in the supply chain's hands and there has been no update regarding delays. Some are waiting for the month-end earnings print as a catalyst for receiving that news, but expectations for volumes had always been for Q4. We heard from one conversation that delays could be as little as 2 weeks vs the advertised 3 months, but heard others cite issues with co-packaged die. To us this seems like the normal cadence of a qualification cycle, not a material design flaw. Current testing capacity for Blackwell is expected to get to over 200K units by year end with Q125 at 250K. Our \$145 price target is unchanged, now based on 36x our CY25E non-GAAP EPS of \$4.06 (from 40x our prior CY25E non-GAAP EPS of \$3.62), with our multiple reflecting AI valuations.

Looking Ahead to Reads For COHR/MRVL: We see COHR and MRVL as the two best read-throughs of these stronger data points. This, in combination with commentary from MTSI, makes us believe Data Center/Optical should beat for both names. We see a strong path to further positive revisions with the launch of next-gen Blackwell product, and the higher speed networking required once those systems are deployed (800G Nic/1.6T aggregation). For MRVL's custom ASIC business specifically, we continue to have conviction that key customers are committed to accelerator order ramps and believe that CRDO's updated guidance at last earnings confirms this with at least one large customer. For COHR, we raise numbers modestly for CY25, moving to \$4.18 in EPS from our prior \$3.99, reflecting our expectation for stronger

Barclays Capital Inc. and/or one of its affiliates does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.

Please see analyst certifications and important disclosures beginning on page 10.

Completed: 13-Aug-24, 22:00 GMT Released: 14-Aug-24, 04:10 GMT Restricted - External

| CORE

U.S. Semiconductors & Semiconductor Capital Equipment

NEUTRAL

Unchanged

U.S. Semiconductors & Semiconductor Capital Equipment

Tom O'Malley

+1 212 526 0692

thomas.o'malley@barclays.com

BCI, US

Scott Fessler

+1 212 526 2604

scott.fessler@barclays.com

BCI, US

Kyle Bleustein

+1 212 526 7618

kyle.bleustein@barclays.com

BCI, US

2H25 DC networking demand driven by 1.6T deployments, and raise our price target accordingly to \$85 from \$66 (based on 20x our new CY25 EPS vs. 17x our prior CY25 EPS).

Growing Confidence on SE in 1H25: We are also hearing more about a potential SE launch in early CY25 but have not heard anything indicating which modem will be used. Our operating assumption is that there will be a phone launched early in the year but don't think the modem decision is set. Checks indicate roughly ~15M units as a starting point. This year, total new iPhone units are seemingly only slightly higher Y/Y.

Summary of our Ratings, Price Targets and Earnings Changes in this Report (all changes are shown in bold)

Company	Rating		Price	Price Target			EPS FY1 (E)			EPS FY2 (E)		
	Old	New	13-Aug-24	Old	New	%Chg	Old	New	%Chg	Old	New	%Chg
U.S. Semiconductors & Semiconductor Capital Equipment	Neu	Neu										
Coherent Corp. (COHR)	OW	OW	66.96	66.00	85.00	29	1.69	1.69	-	3.39	3.39	-
NVIDIA Corp. (NVDA)	OW	OW	116.14	145.00	145.00	-	2.62	2.81	7	3.62	4.06	12

Source: Barclays Research. Share prices and target prices are shown in the primary listing currency and EPS estimates are shown in the reporting currency. FY1(E): Current fiscal year estimates by Barclays Research. FY2(E): Next fiscal year estimates by Barclays Research. Stock Rating: OW: Overweight; EW: Equal Weight; UW: Underweight; RS: Rating Suspended Industry View: Pos: Positive; Neu: Neutral; Neg: Negative

Valuation Methodology and Risks

U.S. Semiconductors & Semiconductor Capital Equipment

Coherent Corp. (COHR / COHR)

Valuation Methodology: Our price target of \$85 is based upon 20x our CY25 EPS of \$4.18.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to the upside include overall Fiber Optic and Communications trends from AI, better acquired segment performance, coupled with higher than expected share at AAPL for 3D sensing. Downside risks include limited 3D sensing outside of Apple and a slowing of AI momentum as well as risks associated to high debt levels.

NVIDIA Corp. (NVDA / NVDA)

Valuation Methodology: Our price target of \$145 is based upon 36x our CY25E non-GAAP EPS of \$4.06.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to the downside include a slower ramp in GPUs for AI in the DC, slower recovery in the gaming market, a slower Auto ramp and slower GM improvement.

Source: Barclays Research

Changes to Estimates

NVDA:

Our FY25 revenue/EPS move to \$122,929M/\$2.81 (prior \$115,522M/\$2.62), and FY26 moves to \$173,870M/\$4.06 (prior \$157,146M/\$3.62).

Our price target of \$145 is based upon 36x our CY25E non-GAAP EPS of \$4.06. Our prior methodology was based upon 40x our CY25E non-GAAP EPS of \$3.62.

COHR:

Our CY24 revenue/EPS move to \$5180M/\$2.84 (prior \$5180M/\$2.84), and CY25 moves to \$5866M/\$4.18 (prior \$5751M/\$3.99).

Our price target of \$85 is based upon 20x our CY25 EPS of \$4.18. Our prior price target of \$66 was based upon 17x our CY25 EPS of \$3.81.

FIGURE 1. COHR Estimates vs. Consensus

Changes to Revenue and EPS Estimates - New vs. Old vs. Consensus					
		Jun Q	Sep Q	CY24	CY25
NEW	Revenues	\$1,285M	\$1,331M	\$5,180M	\$5,866M
	EPS	\$0.64	\$0.80	\$2.84	\$4.18
OLD	Revenues	\$1,285M	\$1,331M	\$5,180M	\$5,751M
	EPS	\$0.64	\$0.80	\$2.84	\$3.99
CONSENSUS	Revenues	\$1,276M	\$1,299M	\$5,120M	\$5,708M
	EPS	\$0.61	\$0.64	\$2.51	\$3.52

Source: Company Reports, Barclays Research Estimates and Bloomberg

FIGURE 2. COHR Income Statement

Coherent Corp.																				
Period Ending	Sep-22	Dec-22	Mar-23	Jun-23	Sep-23	Dec-23	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	2023	2024	2025	2026
\$ in millions	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE	FY	FYE	FYE	FYE
Revenue	\$1,344.6	\$1,370.3	\$1,240.2	\$1,205.1	\$1,053.1	\$1,131.4	\$1,208.8	\$1,285.1	\$1,330.5	\$1,355.7	\$1,353.4	\$1,367.2	\$1,503.5	\$1,641.5	\$1,640.5	\$1,727.2	\$5,160.1	\$4,678.4	\$5,406.9	\$6,512.6
QoQ	51.6%	1.9%	(9.5%)	(2.8%)	(12.6%)	7.4%	6.8%	6.3%	3.5%	1.9%	(0.2%)	1.0%	10.0%	9.2%	(0.1%)	5.3%				
YoY	69.1%	69.8%	49.8%	35.9%	(21.7%)	(17.4%)	(2.5%)	6.6%	26.3%	19.8%	12.0%	6.4%	13.0%	21.1%	21.2%	26.3%	55.6%	(9.3%)	15.6%	20.5%
Cost of Revenue	802.4	824.4	777.0	772.3	686.7	723.7	776.2	812.8	835.6	840.6	839.1	840.8	917.1	1,001.3	1,000.7	1,053.6	3,176.1	2,999.4	3,356.1	3,972.7
Gross Profit	\$542.2	\$545.9	\$463.2	\$432.8	\$366.4	\$407.7	\$432.6	\$472.3	\$495.0	\$515.2	\$514.3	\$526.4	\$586.4	\$640.2	\$639.8	\$673.6	\$1,984.0	\$1,679.0	\$2,050.8	\$2,539.9
R&D	115.7	122.8	119.9	115.0	103.1	102.4	118.1	124.0	124.0	124.0	129.0	129.0	131.0	133.0	136.9	136.9	473.4	447.5	505.9	537.8
SG&A	140.0	145.4	126.2	132.6	130.9	133.8	132.3	138.0	139.0	140.0	145.6	146.6	148.6	150.6	155.1	156.1	544.2	534.9	571.2	610.4
Total Operating Expenses	255.7	268.1	246.1	247.7	234.0	236.1	250.4	262.0	263.0	264.0	274.6	275.6	279.6	283.6	292.1	293.1	1,017.6	982.5	1,077.1	1,148.3
Operating Income	\$286.5	\$277.7	\$217.1	\$185.1	\$132.4	\$171.6	\$182.2	\$210.3	\$232.0	\$251.2	\$239.7	\$250.8	\$306.8	\$356.6	\$347.7	\$380.5	\$966.4	\$696.5	\$973.7	\$1,391.7
Interest/Other Expense	(61.7)	(67.3)	(71.3)	(72.6)	(67.7)	(63.1)	(51.1)	(55.5)	(54.5)	(53.5)	(52.5)	(51.5)	(50.5)	(49.5)	(48.5)	(47.5)	(272.9)	(237.3)	(212.0)	(196.0)
Interest Expense	(27.1)	(70.9)	(75.2)	(78.9)	(73.3)	(74.7)	(72.8)	(67.5)	(66.5)	(65.5)	(64.5)	(63.5)	(62.5)	(61.5)	(60.5)	(59.5)	(252.1)	(288.2)	(260.0)	(244.0)
Other (Expense)	(34.6)	3.6	3.9	6.3	5.6	11.6	21.7	12.0	12.0	12.0	12.0	12.0	12.0	12.0	12.0	12.0	(20.9)	50.9	48.0	48.0
Profit Before Taxes	224.8	210.4	145.8	112.5	64.7	108.5	131.2	154.8	177.5	197.7	187.2	199.3	256.3	307.1	299.2	333.0	693.5	459.2	761.7	1,195.7
Taxes	41.2	39.0	28.2	17.6	9.7	23.6	20.5	27.1	33.7	37.6	35.6	37.9	48.7	58.4	56.9	63.3	126.0	80.9	144.7	227.2
Net income to COHR - Pro Forma	\$183.6	\$171.4	\$117.6	\$94.9	\$55.0	\$85.0	\$110.7	\$127.7	\$143.7	\$160.1	\$151.7	\$161.4	\$207.6	\$248.8	\$242.4	\$269.8	\$567.5	\$378.3	\$617.0	\$968.5
Non-controlling interest					(1.5)	(2.5)	(2.5)	(2.5)	(2.5)	(2.5)	(2.5)	(2.5)	(2.5)	(2.5)	(2.5)	(2.5)	0.0	(6.6)	(10.2)	(10.2)
Net income - Pro Forma	\$183.6	\$171.4	\$117.6	\$94.9	\$55.0	\$86.4	\$113.2	\$130.2	\$146.3	\$162.7	\$154.2	\$164.0	\$210.2	\$251.3	\$244.9	\$272.3	\$567.5	\$384.9	\$627.1	\$978.7
Net income - discontinued operations																	0.0	0.0	0.0	0.0
Convertible Senior Notes 2022	(0.4)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	(0.4)	0.0	0.0	0.0
Series A Preferred Stock dividends			6.9	6.9	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	13.8	0.0	0.0	0.0
Series B Preferred Stock dividends	28.7	29.0	29.2	29.8	30.2	30.6	31.2	31.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	116.7	123.0	0.0	0.0
Net Income - Pro Forma (Diluted)	\$155.3	\$142.4	\$81.5	\$58.17	\$24.8	\$55.8	\$82.1	\$99.2	\$146.3	\$162.7	\$154.2	\$164.0	\$210.2	\$251.3	\$244.9	\$272.3	\$567.5	\$261.9	\$627.1	\$978.7
EPS - Pro Forma	\$1.04	\$0.95	\$0.58	\$0.41	\$0.16	\$0.36	\$0.53	\$0.64	\$0.80	\$0.88	\$0.83	\$0.88	\$1.13	\$1.34	\$1.30	\$1.44	\$2.98	\$1.69	\$3.39	\$5.21
EPS - GAAP	(\$0.56)	(\$0.58)	(\$0.24)	(\$1.54)	(\$0.65)	(\$0.38)	(\$0.28)	(\$0.24)	\$0.08	\$0.18	\$0.12	\$0.18	\$0.48	\$0.75	\$0.70	\$0.88	(\$2.93)	(\$1.56)	\$0.56	\$2.80
Basic shares	133.3	138.6	139.1	139.3	150.3	151.6	152.1	152.6	153.1	153.6	154.1	154.6	155.1	155.6	156.1	156.6				
Common stock equivalents	1.5	0.9	1.7	1.8	1.9	1.4	3.5	3.5	3.7	3.9	4.1	4.3	4.5	4.7	4.9	5.1				
Convertible Senior Notes 2022	4.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0				
Series A/B Mandatory Convertible Preferred Stock	9.6	10.7	0.0	0.0	0.0	0.0	0.0	0.0	27.0	27.0	27.0	27.0	27.0	27.0	27.0	27.0				
Bain March 2021	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0				
Fully Diluted Shares	148.9	150.2	140.8	141.1	152.2	153.0	155.6	156.1	183.8	184.5	185.2	185.9	186.6	187.3	188.0	188.7	190.3	154.9	184.9	187.7
Percent of Sales																				
Gross Margin	40.3%	39.8%	37.3%	35.9%	34.8%	36.0%	35.8%	36.8%	37.2%	38.0%	38.0%	38.5%	39.0%	39.0%	39.0%	39.0%	38.4%	35.9%	37.9%	39.0%
R&D	8.6%	9.0%	9.7%	9.5%	9.8%	9.0%	9.8%	9.6%	9.3%	9.1%	9.5%	9.4%	8.7%	8.1%	8.3%	7.9%	9.2%	9.6%	9.4%	8.3%
SG&A	10.4%	10.6%	10.2%	11.0%	12.4%	11.8%	10.9%	10.7%	10.4%	10.3%	10.8%	10.7%	9.9%	9.2%	9.5%	9.0%	10.5%	11.4%	10.6%	9.4%
Operating Margin	21.3%	20.3%	17.5%	15.4%	12.6%	15.2%	15.1%	16.4%	17.4%	18.5%	17.7%	18.3%	20.4%	21.7%	21.2%	22.0%	18.7%	14.9%	18.0%	21.4%
Taxes	18.3%	18.5%	19.4%	15.6%	15.0%	21.7%	15.6%	17.5%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	17.6%	19.8%	20.3%	19.8%
Net Income	11.6%	10.4%	6.6%	4.8%	2.4%	4.9%	6.8%	7.7%	11.0%	12.0%	11.4%	12.0%	14.0%	15.3%	14.9%	15.8%	11.0%	5.6%	11.6%	15.0%
Sequential Change																				
R&D	32.0%	6.1%	(2.4%)	(4.0%)	(10.4%)	(0.7%)	15.4%	5.0%	0.0%	0.0%	4.0%	0.0%	1.6%	1.5%	3.0%	0.0%	39.5%	(5.5%)	13.0%	6.3%
SG&A	60.6%	3.8%	(13.2%)	5.1%	(1.3%)	2.2%	(1.1%)	4.3%	0.7%	0.7%	4.0%	0.7%	1.4%	1.3%	3.0%	0.6%	64.0%	(1.7%)	6.8%	6.9%
Fully Diluted Shares	18.5%	0.9%	(6.2%)	0.2%	7.8%	0.5%	1.7%	0.3%	17.7%	0.4%	0.4%	0.4%	0.4%	0.4%	0.4%	0.4%	40.2%	(18.6%)	19.3%	1.5%

Source: Company Reports and Barclays Research Estimates

Source: Company Reports, Barclays Research Estimates

U.S. Semiconductors & Semiconductor Capital Equipment

NEUTRAL

Coherent Corp. (COHR)

OVERWEIGHT

Income statement (\$mn)	2023A	2024E	2025E	2026E	CAGR
Revenue	5,160	4,678	5,407	6,513	8.1%
EBITDA (adj)	1,648	1,267	1,539	1,955	5.9%
EBIT (adj)	966	697	974	1,392	12.9%
Pre-tax income (adj)	693	459	762	1,196	19.9%
Net income (adj)	567	262	627	979	19.9%
EPS (adj) (\$)	2.98	1.69	3.39	5.21	20.5%
Diluted shares (mn)	190.3	154.9	184.9	187.7	-0.5%
DPS (\$)	0.00	0.00	0.00	0.00	N/A
Margin and return data	2023A	2024E	2025E	2026E	Average
EBITDA (adj) margin (%)	31.9	27.1	28.5	30.0	29.4
EBIT (adj) margin (%)	18.7	14.9	18.0	21.4	18.2
Pre-tax (adj) margin (%)	13.4	9.8	14.1	18.4	13.9
Net (adj) margin (%)	11.0	5.6	11.6	15.0	10.8
ROA (%)	-1.8	-0.8	0.6	3.0	0.2
ROE (%)	-3.3	-1.6	1.1	5.1	0.3
Balance sheet and cash flow (\$mn)	2023A	2024E	2025E	2026E	CAGR
Tangible fixed assets	1,782	1,909	1,959	1,989	3.7%
Intangible fixed assets	4,513	4,493	4,493	4,493	-0.1%
Cash and equivalents	833	1,722	1,903	2,272	39.7%
Total assets	13,711	14,284	14,225	14,640	2.2%
Short and long-term debt	4,310	4,086	3,806	3,526	-6.5%
Other long-term liabilities	247	201	201	201	-6.7%
Total liabilities	6,482	6,225	5,966	5,826	-3.5%
Net debt/(funds)	3,476	2,364	1,903	1,254	-28.8%
Shareholders' equity	7,229	8,059	8,258	8,814	6.8%
Change in working capital	-865	741	164	538	N/A
Cash flow from operations	634	510	781	949	14.4%
Capital expenditure	-436	-372	-320	-300	N/A
Free cash flow	198	138	461	649	48.5%
Valuation and leverage metrics	2023A	2024E	2025E	2026E	Average
P/E (adj) (x)	22.5	39.6	19.7	12.8	23.6
EV/sales (x)	2.7	2.7	2.3	1.8	2.4
EV/EBITDA (adj) (x)	8.4	10.1	8.0	6.0	8.1
Equity FCF yield (%)	31.3	-1.0	1.5	2.9	8.7
P/Sales (x)	2.0	2.2	1.9	1.6	1.9
P/BV (x)	1.8	1.3	1.5	1.4	1.5
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0

Note: FY End Jun

Source: Company data, Bloomberg, Barclays Research

...

Price (13-Aug-2024) **USD 66.96**
 Price Target **USD 85.00**

Why OVERWEIGHT?

COHR is a name levered to the transition to faster speeds in the DC and is coming off cyclical lows in many end markets priming them for above market growth. New management also has the opportunity to sell off underperforming businesses and pay down debt.

Upside case **USD 95.00**

Our upside case of \$95 is based upon 21x our upside CY25 EPS of \$4.50, which assumes better Comms growth, faster paydown of debt, cleanup of legacy businesses.

Downside case **USD 50.00**

Our downside case of \$50 is based upon 17x our downside CY25 EPS of \$3.00, which assumes slower Comms growth, slower paydown of debt, no change to corporate strategy.

Upside/Downside scenarios

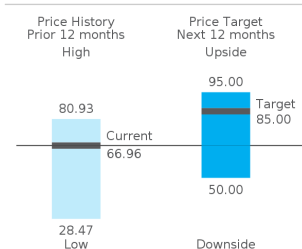


FIGURE 3. NVDA Estimates vs. Consensus

Changes to Revenue and EPS Estimates - New vs. Old vs. Consensus					
		Jul Q	Oct Q	FY25	FY26
NEW	Revenues	\$29,244M	\$32,676M	\$122,929M	\$173,870M
	EPS	\$0.65	\$0.74	\$2.81	\$4.06
OLD	Revenues	\$28,081M	\$29,674M	\$115,522M	\$157,146M
	EPS	\$0.62	\$0.66	\$2.62	\$3.62
CONSENSUS	Revenues	\$28,627M	\$31,500M	\$120,451M	\$163,265M
	EPS	\$0.64	\$0.69	\$2.69	\$3.58

Source: Company Reports, Barclays Research Estimates and Bloomberg

FIGURE 4. NVDA Income Statement

NVIDIA	Apr-21	Jul-21	Oct-21	Jan-22	Apr-22	Jul-22	Oct-22	Jan-23	Apr-23	Jul-23	Oct-23	Jan-24	Apr-24	Jul-24	Oct-24	Jan-25	Apr-25	Jul-25	Oct-25	Jan-26	2022	2023	2024	2025	2026
FY Ending: January	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2QE	3QE	4QE	1QE	2QE	3QE	4QE	FY	FY	FY	FYE	FYE
\$ in millions																									
Revenues	\$5,661	\$6,507	\$7,103	\$7,643	\$8,288	\$6,704	\$5,931	\$6,051	\$7,192	\$13,507	\$18,120	\$22,103	\$26,044	\$29,244	\$32,676	\$34,965	\$38,529	\$41,725	\$45,042	\$48,573	\$26,914	\$26,974	\$60,922	\$122,929	\$173,870
QoQ	13.2%	14.9%	9.2%	7.6%	8.4%	(19.1%)	(11.5%)	2.0%	18.9%	87.8%	34.2%	22.0%	17.8%	12.3%	11.7%	7.0%	10.2%	8.3%	8.0%	7.8%	61.4%	0.2%	125.9%	101.8%	41.4%
YoY	83.8%	68.3%	50.3%	52.8%	46.4%	3.0%	(16.5%)	(20.8%)	(13.2%)	101.5%	205.5%	265.3%	262.1%	116.5%	80.3%	58.2%	47.9%	42.7%	37.8%	38.9%	8,946	11,009	15,964	28,614	39,666
Cost of Goods	1,915	2,170	2,342	2,519	2,725	3,630	2,602	2,052	2,390	3,893	4,537	5,144	5,484	7,120	7,794	8,217	8,972	9,575	10,201	10,918					
Gross Profit	\$3,746	\$4,337	\$4,761	\$5,124	\$5,563	\$3,074	\$3,329	\$3,999	\$4,802	\$9,614	\$13,583	\$16,959	\$20,560	\$22,124	\$24,882	\$26,748	\$29,558	\$32,150	\$34,842	\$37,655	\$17,968	\$15,965	\$44,958	\$94,315	\$134,204
R&D	876	947	1,033	1,095	1,225	1,362	1,405	1,414	1,339	1,428	1,581	1,747	1,980	2,150	2,225	2,300	2,450	2,600	2,750	2,900	3,951	5,406	6,095	8,655	10,700
SG&A	313	319	342	352	383	387	388	361	411	410	445	463	521	650	675	700	750	800	850	900	1,326	1,519	1,729	2,546	3,300
Total Operating Expenses	1,189	1,266	1,375	1,447	1,608	1,749	1,793	1,775	1,750	1,838	2,026	2,210	2,501	2,800	2,900	3,000	3,200	3,400	3,600	3,800	5,277	6,925	7,824	11,201	14,000
Operating Income	\$2,557	\$3,071	\$3,386	\$3,677	\$3,955	\$1,325	\$1,536	\$2,224	\$3,052	\$7,776	\$11,557	\$14,749	\$18,059	\$19,324	\$21,982	\$23,748	\$26,358	\$28,750	\$31,242	\$33,855	\$12,691	\$9,040	\$37,134	\$83,114	\$120,204
Interest Income (Exp)	(45)	(49)	(52)	(52)	(45)	(16)	24	43	84	120	175	232	302	300	325	350	375	400	425	450	(198)	6	611	1,277	1,650
Profit Before Taxes	2,512	3,022	3,334	3,625	3,910	1,309	1,560	2,267	3,136	7,896	11,732	14,981	18,361	19,624	22,307	24,098	26,733	29,150	31,667	34,305	12,493	9,046	37,745	84,391	121,854
Taxes	199	399	361	275	467	17	104	93	423	1,156	1,712	2,142	3,123	3,336	3,792	4,097	4,545	4,956	5,383	5,832	1,234	681	5,433	14,348	20,715
Net Income - Pro Forma	\$2,313	\$2,623	\$2,973	\$3,350	\$3,443	\$1,292	\$1,456	\$2,174	\$2,713	\$6,740	\$10,020	\$12,839	\$15,238	\$16,288	\$18,515	\$20,001	\$22,188	\$24,195	\$26,283	\$28,473	\$11,259	\$8,365	\$32,312	\$70,043	\$101,139
EPS - Pro Forma (ex ESO)	\$0.09	\$0.10	\$0.12	\$0.13	\$0.14	\$0.05	\$0.06	\$0.09	\$0.11	\$0.27	\$0.40	\$0.52	\$0.61	\$0.65	\$0.74	\$0.80	\$0.89	\$0.97	\$1.06	\$1.14	\$0.44	\$0.33	\$1.30	\$2.81	\$4.06
EPS - Pro Forma (incl ESO)	\$0.08	\$0.09	\$0.10	\$0.11	\$0.12	\$0.03	\$0.03	\$0.06	\$0.08	\$0.24	\$0.37	\$0.48	\$0.58	\$0.62	\$0.71	\$0.76	\$0.85	\$0.93	\$1.02	\$1.10	\$0.37	\$0.23	\$1.17	\$2.66	\$3.90
EPS - GAAP	\$0.08	\$0.09	\$0.10	\$0.12	\$0.06	\$0.03	\$0.03	\$0.06	\$0.08	\$0.25	\$0.37	\$0.49	\$0.60	\$0.62	\$0.70	\$0.77	\$0.85	\$0.93	\$1.02	\$1.10	\$0.38	\$0.17	\$1.19	\$2.69	\$3.90
Fully Diluted Shares	25,280.0	25,320.0	25,380.0	25,450.0	25,370.0	25,160.0	24,990.0	24,770.0	24,900.0	24,990.0	24,940.0	24,900.0	24,890.0	24,890.0	24,890.0	24,890.0	24,890.0	24,890.0	24,890.0	24,890.0	25,357.5	25,072.5	24,932.5	24,890.0	24,890.0
Dividend per Share	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.01	\$0.01	\$0.01	\$0.01	\$0.01	\$0.01	\$0.01	\$0.01	\$0.02	\$0.02	\$0.03	\$0.04
Percent of Sales																									
Gross Margin	66.2%	66.7%	67.0%	67.0%	67.1%	45.9%	56.1%	66.1%	66.8%	71.2%	75.0%	76.7%	78.9%	75.7%	76.1%	76.5%	76.7%	77.1%	77.4%	77.5%	66.8%	59.2%	73.8%	76.7%	77.2%
R&D	15.5%	14.6%	14.5%	14.3%	14.8%	20.3%	23.7%	23.4%	18.6%	10.6%	8.7%	7.9%	7.6%	7.4%	6.8%	6.6%	6.4%	6.2%	6.1%	6.0%	14.7%	20.0%	10.0%	7.0%	6.2%
SG&A	5.5%	4.9%	4.8%	4.6%	4.6%	5.8%	6.5%	6.0%	5.7%	3.0%	2.5%	2.1%	2.0%	2.2%	2.1%	2.0%	1.9%	1.9%	1.9%	1.9%	4.9%	5.6%	2.8%	2.1%	1.9%
Operating Margin	45.2%	47.2%	47.7%	48.1%	47.7%	19.8%	25.9%	36.8%	42.4%	57.6%	63.8%	66.7%	69.3%	66.1%	67.3%	67.9%	68.4%	68.9%	69.4%	69.7%	47.2%	33.5%	61.0%	67.6%	69.1%
Taxes	7.9%	13.2%	10.8%	7.6%	11.9%	1.3%	6.7%	4.1%	13.5%	14.6%	14.6%	14.3%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	9.9%	7.5%	14.4%	17.0%	17.0%
Net Income	40.9%	40.3%	41.9%	43.8%	41.5%	19.3%	24.5%	35.9%	37.7%	49.9%	55.3%	58.1%	58.5%	55.7%	56.7%	57.2%	57.6%	58.0%	58.4%	58.6%	41.8%	31.0%	53.0%	57.0%	58.2%
Sequential Change																									
R&D	(0.6%)	8.1%	9.1%	6.0%	11.9%	11.2%	3.2%	0.6%	(5.3%)	6.6%	10.7%	10.5%	13.3%	8.6%	3.5%	3.4%	6.5%	6.1%	5.8%	5.5%	28.9%	36.8%	12.7%	42.0%	23.6%
SG&A	2.3%	1.9%	7.2%	2.9%	8.8%	1.0%	0.3%	(7.0%)	13.9%	(0.2%)	8.5%	4.0%	12.5%	24.8%	3.8%	3.7%	7.1%	6.7%	6.3%	5.9%	22.9%	14.6%	13.8%	47.3%	29.6%

Source: Company Reports, Barclays Research Estimates

Source: Company Reports, Barclays Research Estimates

U.S. Semiconductors & Semiconductor Capital Equipment

NEUTRAL

NVIDIA Corp. (NVDA)

OVERWEIGHT

Income statement (\$mn)	2024A	2025E	2026E	2027E	CAGR
Revenue	60,922	122,929	173,870	N/A	N/A
EBITDA (adj)	38,642	84,754	121,844	N/A	N/A
EBIT (adj)	37,134	83,114	120,204	N/A	N/A
Pre-tax income (adj)	37,745	84,391	121,854	N/A	N/A
Net income (adj)	32,312	70,043	101,139	N/A	N/A
EPS (adj) (\$)	1.30	2.81	4.06	N/A	N/A
Diluted shares (mn)	24,933	24,890	24,890	N/A	N/A
DPS (\$)	0.02	0.03	0.04	N/A	N/A
Margin and return data	2024A	2025E	2026E	2027E	Average
EBITDA (adj) margin (%)	63.4	68.9	70.1	N/A	67.5
EBIT (adj) margin (%)	61.0	67.6	69.1	N/A	65.9
Pre-tax (adj) margin (%)	62.0	68.6	70.1	N/A	66.9
Net (adj) margin (%)	53.0	57.0	58.2	N/A	56.1
ROA (%)	78.5	106.6	90.1	N/A	91.7
ROE (%)	146.2	163.0	122.6	N/A	143.9
Balance sheet and cash flow (\$mn)	2024A	2025E	2026E	2027E	CAGR
Tangible fixed assets	3,914	3,976	4,136	N/A	N/A
Intangible fixed assets	4,430	4,453	4,453	N/A	N/A
Cash and equivalents	25,984	58,327	122,771	N/A	N/A
Total assets	65,728	112,254	185,939	N/A	N/A
Short and long-term debt	9,709	9,710	9,710	N/A	N/A
Other long-term liabilities	2,541	2,966	2,966	N/A	N/A
Total liabilities	22,750	29,730	31,214	N/A	N/A
Net debt/(funds)	-16,275	-48,617	-113,061	N/A	N/A
Shareholders' equity	42,978	82,524	154,725	N/A	N/A
Change in working capital	17,204	38,645	N/A	N/A	N/A
Cash flow from operations	28,091	59,936	88,248	N/A	N/A
Capital expenditure	-1,068	-1,569	-1,800	N/A	N/A
Free cash flow	27,023	58,367	86,448	N/A	N/A
Valuation and leverage metrics	2024A	2025E	2026E	2027E	Average
P/E (adj) (x)	89.6	41.3	28.6	N/A	53.2
EV/sales (x)	47.2	23.1	16.0	N/A	28.8
EV/EBITDA (adj) (x)	74.4	33.5	22.8	N/A	43.6
Equity FCF yield (%)	0.9	2.0	3.0	N/A	2.0
P/Sales (x)	47.4	23.5	16.6	N/A	29.2
P/BV (x)	67.4	35.0	18.7	N/A	40.4
Dividend yield (%)	0.0	0.0	0.0	N/A	0.0

Note: FY End Jan

Source: Company data, Bloomberg, Barclays Research

...

Price (13-Aug-2024) **USD 116.14**
 Price Target **USD 145.00**

Why OVERWEIGHT?

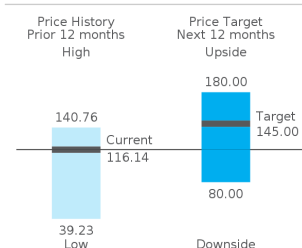
We are OW as the company has long-term sustainable growth led by a large lead in GPUs for AI in DC, with further Edge opportunities (Autos, robots, etc.) and a competitive moat around a large portion of the market.

Upside case **USD 180.00**

Our upside case of \$180 is based upon 38x our upside CY25E non-GAAP EPS of \$4.75, which assumes larger TAM for AI in the DC, higher Networking attach, and higher GMs.

Downside case **USD 80.00**

Our downside case of \$80 is based upon 32x our downside CY25E non-GAAP EPS of \$2.50, which assumes a correction of AI spending in the DC, a slower Auto ramp and pricing/share pressure.

Upside/Downside scenarios

Analyst(s) Certification(s):

I, Tom O'Malley, hereby certify (1) that the views expressed in this research report accurately reflect my personal views about any or all of the subject securities or issuers referred to in this research report and (2) no part of my compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this research report.

Important Disclosures:

Barclays Research is produced by the Investment Bank of Barclays Bank PLC and its affiliates (collectively and each individually, "Barclays"). All authors contributing to this research report are Research Analysts unless otherwise indicated. The publication date at the top of the report reflects the local time where the report was produced and may differ from the release date provided in GMT.

Availability of Disclosures:

Where any companies are the subject of this research report, for current important disclosures regarding those companies please refer to <https://publicresearch.barclays.com> or alternatively send a written request to: Barclays Research Compliance, 745 Seventh Avenue, 13th Floor, New York, NY 10019 or call +1-212-526-1072.

The analysts responsible for preparing this research report have received compensation based upon various factors including the firm's total revenues, a portion of which is generated by investment banking activities, the profitability and revenues of the Markets business and the potential interest of the firm's investing clients in research with respect to the asset class covered by the analyst.

Analysts regularly conduct site visits to view the material operations of covered companies, but Barclays policy prohibits them from accepting payment or reimbursement by any covered company of their travel expenses for such visits.

Barclays Research Department produces various types of research including, but not limited to, fundamental analysis, equity-linked analysis, quantitative analysis, and trade ideas. Recommendations contained in one type of Barclays Research may differ from those contained in other types of Barclays Research, whether as a result of differing time horizons, methodologies, or otherwise.

In order to access Barclays Statement regarding Research Dissemination Policies and Procedures, please refer to <https://publicresearch.barclays.com/S/RD.htm>. In order to access Barclays Research Conflict Management Policy Statement, please refer to: <https://publicresearch.barclays.com/S/CM.htm>.

Primary Stocks (Ticker, Date, Price)

Coherent Corp. (COHR, 13-Aug-2024, USD 66.96), Overweight/Neutral, CD/J/K/M

NVIDIA Corp. (NVDA, 13-Aug-2024, USD 116.14), Overweight/Neutral, CD/CE/J/K/M

Materially Mentioned Stocks (Ticker, Date, Price)

Marvell Technology Group, Ltd. (MRVL, 13-Aug-2024, USD 64.05), Overweight/Neutral, A/CD/CE/D/J/L

Micron Technology, Inc. (MU, 13-Aug-2024, USD 97.44), Overweight/Neutral, A/CD/CE/D/E/FA/J/K/L/M/N

Unless otherwise indicated, prices are sourced from Bloomberg and reflect the closing price in the relevant trading market, which may not be the last available closing price at the time of publication.

Disclosure Legend:

A: Barclays Bank PLC and/or an affiliate has been lead manager or co-lead manager of a publicly disclosed offer of securities of the issuer in the previous 12 months.

B: An employee or non-executive director of Barclays PLC is a director of this issuer.

CD: Barclays Bank PLC and/or an affiliate is a market-maker in debt securities issued by this issuer.

CE: Barclays Bank PLC and/or an affiliate is a market-maker in equity securities issued by this issuer.

CH: Barclays Bank PLC and/or its group companies makes, or will make, a market in the securities (as defined under paragraph 16.2 (k) of the HK SFC Code of Conduct) in respect of this issuer.

D: Barclays Bank PLC and/or an affiliate has received compensation for investment banking services from this issuer in the past 12 months.

E: Barclays Bank PLC and/or an affiliate expects to receive or intends to seek compensation for investment banking services from this issuer within the next 3 months.

FA: Barclays Bank PLC and/or an affiliate beneficially owns 1% or more of a class of equity securities of this issuer, as calculated in accordance with US regulations.

FB: Barclays Bank PLC and/or an affiliate beneficially owns a long position of more than 0.5% of a class of equity securities of this issuer, as calculated in accordance with EU regulations.

FC: Barclays Bank PLC and/or an affiliate beneficially owns a short position of more than 0.5% of a class of equity securities of this issuer, as calculated in accordance with EU regulations.

FD: Barclays Bank PLC and/or an affiliate beneficially owns 1% or more of a class of equity securities of this issuer, as calculated in accordance with South Korean regulations.

FE: Barclays Bank PLC and/or its group companies has financial interests in relation to this issuer and such interests aggregate to an amount equal to or more than 1% of this issuer's market capitalization, as calculated in accordance with HK regulations.

GD: One of the Research Analysts on the fundamental credit coverage team (and/or a member of his or her household) has a long position in the common equity securities of this issuer.

GE: One of the Research Analysts on the fundamental equity coverage team (and/or a member of his or her household) has a long position in the common equity securities of this issuer.

H: This issuer beneficially owns more than 5% of any class of common equity securities of Barclays PLC.

I: Barclays Bank PLC and/or an affiliate is party to an agreement with this issuer for the provision of financial services to Barclays Bank PLC and/or an affiliate.

J: Barclays Bank PLC and/or an affiliate is a liquidity provider and/or trades regularly in the securities of this issuer and/or in any related derivatives.

K: Barclays Bank PLC and/or an affiliate has received non-investment banking related compensation (including compensation for brokerage services, if applicable) from this issuer within the past 12 months.

L: This issuer is, or during the past 12 months has been, an investment banking client of Barclays Bank PLC and/or an affiliate.

M: This issuer is, or during the past 12 months has been, a non-investment banking client (securities related services) of Barclays Bank PLC and/or an affiliate.

N: This issuer is, or during the past 12 months has been, a non-investment banking client (non-securities related services) of Barclays Bank PLC and/or an affiliate.

O: Not in use.

P: A partner, director or officer of Barclays Capital Canada Inc. has, during the preceding 12 months, provided services to the subject company for remuneration, other than normal course investment advisory or trade execution services.

Q: Barclays Bank PLC and/or an affiliate is a Corporate Broker to this issuer.

R: Barclays Capital Canada Inc. and/or an affiliate has received compensation for investment banking services from this issuer in the past 12 months.

S: This issuer is a Corporate Broker to Barclays PLC.

T: Barclays Bank PLC and/or an affiliate is providing investor engagement services to this issuer.

U: The equity securities of this Canadian issuer include subordinate voting restricted shares.

V: The equity securities of this Canadian issuer include non-voting restricted shares.

Risk Disclosure(s)

Master limited partnerships (MLPs) are pass-through entities structured as publicly listed partnerships. For tax purposes, distributions to MLP unit holders may be treated as a return of principal. Investors should consult their own tax advisors before investing in MLP units.

Disclosure(s) regarding Information Sources

Copyright © (2024) Sustainalytics. Sustainalytics retains ownership and all intellectual property rights in its proprietary information and data that may be included in this report. Any Sustainalytics' information and data included herein may not be copied or redistributed, is intended for informational purposes only, does not constitute investment advice and is not warranted to be complete, timely and accurate. Sustainalytics' information and data is subject to conditions available at www.sustainalytics.com/legal-disclaimers/

Bloomberg® is a trademark and service mark of Bloomberg Finance L.P. and its affiliates (collectively "Bloomberg") and the Bloomberg Indices are trademarks of Bloomberg. Bloomberg or Bloomberg's licensors own all proprietary rights in the Bloomberg Indices. Bloomberg does not approve or endorse this material, or guarantee the accuracy or completeness of any information herein, or make any warranty, express or implied, as to the results to be obtained therefrom and, to the maximum extent allowed by law, Bloomberg shall have no liability or responsibility for injury or damages arising in connection therewith.

Guide to the Barclays Fundamental Equity Research Rating System:

Our coverage analysts use a relative rating system in which they rate stocks as Overweight, Equal Weight or Underweight (see definitions below) relative to other companies covered by the analyst or a team of analysts that are deemed to be in the same industry (the "industry coverage universe").

In addition to the stock rating, we provide industry views which rate the outlook for the industry coverage universe as Positive, Neutral or Negative (see definitions below). A rating system using terms such as buy, hold and sell is not the equivalent of our rating system. Investors should carefully read the entire research report including the definitions of all ratings and not infer its contents from ratings alone.

Stock Rating

Overweight - The stock is expected to outperform the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

Equal Weight - The stock is expected to perform in line with the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

Underweight - The stock is expected to underperform the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

Rating Suspended - The rating and target price have been suspended temporarily due to market events that made coverage impracticable or to comply with applicable regulations and/or firm policies in certain circumstances including where the Investment Bank of Barclays Bank PLC is acting in an advisory capacity in a merger or strategic transaction involving the company.

Industry View

Positive - industry coverage universe fundamentals/valuations are improving.

Neutral - industry coverage universe fundamentals/valuations are steady, neither improving nor deteriorating.

Negative - industry coverage universe fundamentals/valuations are deteriorating.

Below is the list of companies that constitute the "industry coverage universe":

U.S. Semiconductors & Semiconductor Capital Equipment

Advanced Micro Devices (AMD)

Allegro Microsystems (ALGM)

Analog Devices (ADI)

Applied Materials Inc. (AMAT)	Arm Holdings plc (ARM)	Astera Labs, Inc. (ALAB)
Broadcom Inc. (AVGO)	Camtek (CAMT)	Cirrus Logic Inc. (CRUS)
Coherent Corp. (COHR)	Credo Technology Group (CRDO)	Intel Corp. (INTC)
KLA Corporation (KLAC)	Lam Research Corporation (LRCX)	Lumentum Holdings Inc. (LITE)
MACOM Technology Solutions Holdings, Inc. (MTSI)	Marvell Technology Group, Ltd. (MRVL)	Micron Technology, Inc. (MU)
NVIDIA Corp. (NVDA)	NXP Semiconductors NV (NXPI)	Qorvo Inc. (QRVO)
QUALCOMM, Inc. (QCOM)	Seagate Technology plc (STX)	SGH (SGH)
Silicon Laboratories, Inc. (SLAB)	SiTime Corporation (SITM)	Skyworks Solutions, Inc. (SWKS)
Texas Instruments, Inc. (TXN)	Veeco Instruments Inc (VECO)	Western Digital Corporation (WDC)

Distribution of Ratings:

Barclays Equity Research has 1826 companies under coverage.

48% have been assigned an Overweight rating which, for purposes of mandatory regulatory disclosures, is classified as a Buy rating; 51% of companies with this rating are investment banking clients of the Firm; 71% of the issuers with this rating have received financial services from the Firm.

36% have been assigned an Equal Weight rating which, for purposes of mandatory regulatory disclosures, is classified as a Hold rating; 42% of companies with this rating are investment banking clients of the Firm; 61% of the issuers with this rating have received financial services from the Firm.

14% have been assigned an Underweight rating which, for purposes of mandatory regulatory disclosures, is classified as a Sell rating; 27% of companies with this rating are investment banking clients of the Firm; 51% of the issuers with this rating have received financial services from the Firm.

Guide to the Barclays Research Price Target:

Each analyst has a single price target on the stocks that they cover. The price target represents that analyst's expectation of where the stock will trade in the next 12 months. Upside/downside scenarios, where provided, represent potential upside/potential downside to each analyst's price target over the same 12-month period.

Types of investment recommendations produced by Barclays Equity Research:

In addition to any ratings assigned under Barclays' formal rating systems, this publication may contain investment recommendations in the form of trade ideas, thematic screens, scorecards or portfolio recommendations that have been produced by analysts within Equity Research. Any such investment recommendations shall remain open until they are subsequently amended, rebalanced or closed in a future research report.

Barclays may also re-distribute equity research reports produced by third-party research providers that contain recommendations that differ from and/or conflict with those published by Barclays' Equity Research Department.

Disclosure of other investment recommendations produced by Barclays Equity Research:

Barclays Equity Research may have published other investment recommendations in respect of the same securities/instruments recommended in this research report during the preceding 12 months. To view all investment recommendations published by Barclays Equity Research in the preceding 12 months please refer to <https://live.barcap.com/go/research/Recommendations>.

Legal entities involved in producing Barclays Research:

Barclays Bank PLC (Barclays, UK)

Barclays Capital Inc. (BCI, US)

Barclays Bank Ireland PLC, Frankfurt Branch (BBI, Frankfurt)

Barclays Bank Ireland PLC, Paris Branch (BBI, Paris)

Barclays Bank Ireland PLC, Milan Branch (BBI, Milan)

Barclays Securities Japan Limited (BSJL, Japan)

Barclays Bank PLC, Hong Kong Branch (Barclays Bank, Hong Kong)

Barclays Bank Mexico, S.A. (BBMX, Mexico)

Barclays Capital Casa de Bolsa, S.A. de C.V. (BCCB, Mexico)

Barclays Securities (India) Private Limited (BSIPL, India)

Barclays Bank PLC, Singapore Branch (Barclays Bank, Singapore)

Barclays Bank PLC, DIFC Branch (Barclays Bank, DIFC)

Coherent Corp. (COHR / COHR)

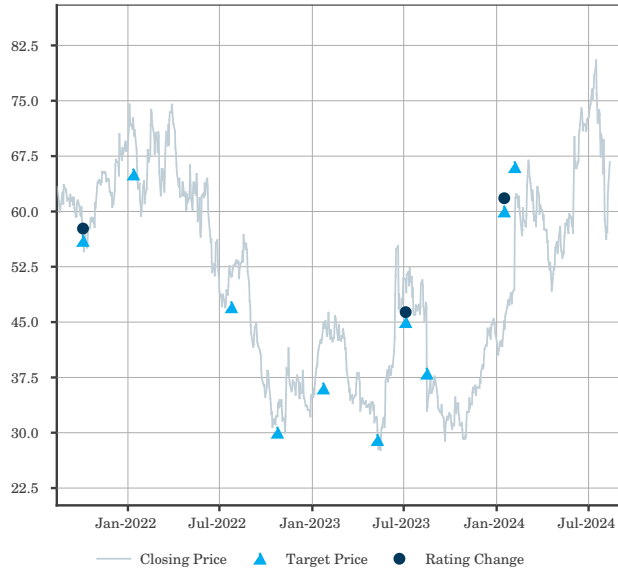
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 66.96** (13-Aug-2024)

Rating and Price Target Chart - USD (as of 13-Aug-2024)

Currency=USD



Source: IDC, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target
06-Feb-2024	49.42		66.00
16-Jan-2024	41.75	Overweight	60.00
16-Aug-2023	32.97		38.00
05-Jul-2023	50.98	Equal Weight	45.00
10-May-2023	30.31		29.00
23-Jan-2023	42.78		36.00
24-Oct-2022	32.22		30.00
25-Jul-2022	51.14		47.00
12-Jan-2022	71.55		65.00
04-Oct-2021	55.55	Underweight	56.00

On 13-Aug-2021, prior to any intra-day change that may have been published, the rating for this security was Equal Weight, and the adjusted price target was 65.00.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

Historical stock prices and price targets may have been adjusted for stock splits and dividends.

CD: Barclays Bank PLC and/or an affiliate is a market-maker in debt securities issued by Coherent Corp..

J: Barclays Bank PLC and/or an affiliate is a liquidity provider and/or trades regularly in the securities by Coherent Corp. and/or in any related derivatives.

K: Barclays Bank PLC and/or an affiliate has received non-investment banking related compensation (including compensation for brokerage services, if applicable) from Coherent Corp. within the past 12 months.

M: Coherent Corp. is, or during the past 12 months has been, a non-investment banking client (securities related services) of Barclays Bank PLC and/or an affiliate.

Valuation Methodology: Our price target of \$85 is based upon 20x our CY25 EPS of \$4.18.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to the upside include overall Fiber Optic and Communications trends from AI, better acquired segment performance, coupled with higher than expected share at AAPL for 3D sensing. Downside risks include limited 3D sensing outside of Apple and a slowing of AI momentum as well as risks associated to high debt levels.

Marvell Technology Group, Ltd. (MRVL / MRVL)

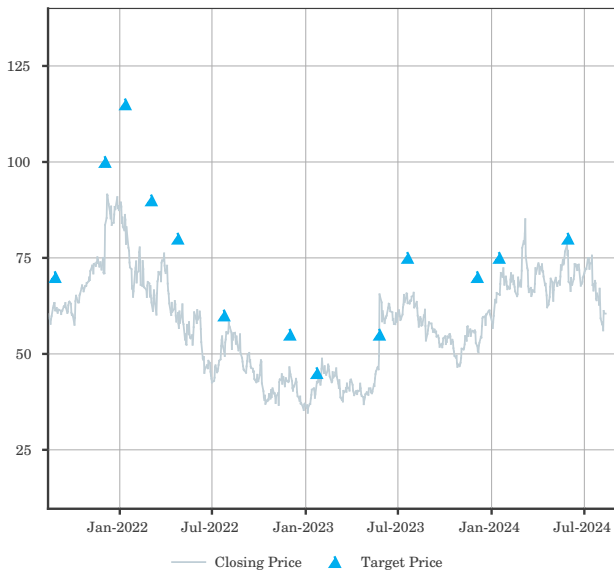
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 64.05** (13-Aug-2024)

Rating and Price Target Chart - USD (as of 13-Aug-2024)

Currency=USD



Source: IDC, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target
30-May-2024	78.33		80.00
16-Jan-2024	65.68		75.00
04-Dec-2023	52.80		70.00
20-Jul-2023	65.63		75.00
26-May-2023	49.47		55.00
23-Jan-2023	39.48		45.00
01-Dec-2022	45.40		55.00
25-Jul-2022	52.02		60.00
25-Apr-2022	58.44		80.00
04-Mar-2022	65.20		90.00
12-Jan-2022	82.21		115.00
03-Dec-2021	71.03		100.00
27-Aug-2021	61.34		70.00

On 13-Aug-2021, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 60.00.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

Historical stock prices and price targets may have been adjusted for stock splits and dividends.

A: Barclays Bank PLC and/or an affiliate has been lead manager or co-lead manager of a publicly disclosed offer of securities of Marvell Technology Group, Ltd. in the previous 12 months.

CD: Barclays Bank PLC and/or an affiliate is a market-maker in debt securities issued by Marvell Technology Group, Ltd..

CE: Barclays Bank PLC and/or an affiliate is a market-maker in equity securities issued by Marvell Technology Group, Ltd..

D: Barclays Bank PLC and/or an affiliate has received compensation for investment banking services from Marvell Technology Group, Ltd. in the past 12 months.

J: Barclays Bank PLC and/or an affiliate is a liquidity provider and/or trades regularly in the securities by Marvell Technology Group, Ltd. and/or in any related derivatives.

L: Marvell Technology Group, Ltd. is, or during the past 12 months has been, an investment banking client of Barclays Bank PLC and/or an affiliate.

Valuation Methodology: Our price target of \$80 is based upon 31x our CY25 EPS of \$2.55.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to our thesis include a slower ramp/lower than expected share in Data Center AI networking, slower wins in the AI ASIC business, slower recovery in the core business and a lack of margin expansion.

Micron Technology, Inc. (MU / MU)

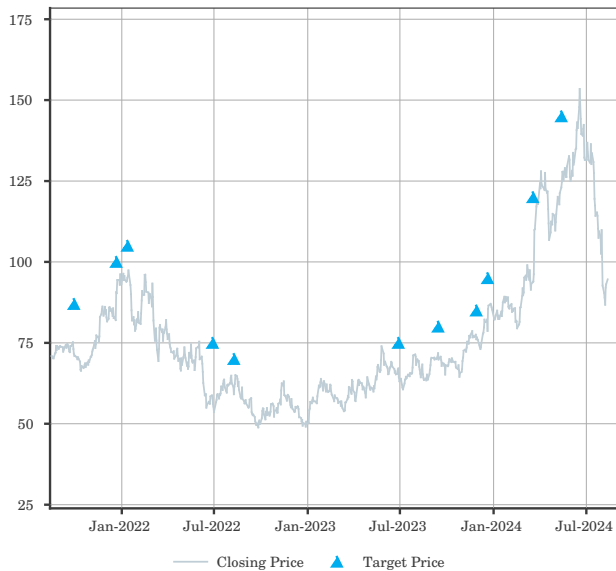
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 97.44** (13-Aug-2024)

Rating and Price Target Chart - USD (as of 13-Aug-2024)

Currency=USD



Source: IDC, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target
13-May-2024	121.24		145.00
18-Mar-2024	93.25		120.00
20-Dec-2023	78.69		95.00
28-Nov-2023	77.51		85.00
14-Sep-2023	70.85		80.00
28-Jun-2023	67.07		75.00
09-Aug-2022	61.45		70.00
28-Jun-2022	58.78		75.00
12-Jan-2022	93.89		105.00
21-Dec-2021	82.03		100.00
29-Sep-2021	73.10		87.00

On 13-Aug-2021, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 110.00.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

Historical stock prices and price targets may have been adjusted for stock splits and dividends.

A: Barclays Bank PLC and/or an affiliate has been lead manager or co-lead manager of a publicly disclosed offer of securities of Micron Technology, Inc. in the previous 12 months.

CD: Barclays Bank PLC and/or an affiliate is a market-maker in debt securities issued by Micron Technology, Inc..

CE: Barclays Bank PLC and/or an affiliate is a market-maker in equity securities issued by Micron Technology, Inc..

D: Barclays Bank PLC and/or an affiliate has received compensation for investment banking services from Micron Technology, Inc. in the past 12 months.

E: Barclays Bank PLC and/or an affiliate expects to receive or intends to seek compensation for investment banking services from Micron Technology, Inc. within the next 3 months.

FA: Barclays Bank PLC and/or an affiliate beneficially owns 1% or more of a class of equity securities of Micron Technology, Inc., as calculated in accordance with US regulations.

J: Barclays Bank PLC and/or an affiliate is a liquidity provider and/or trades regularly in the securities by Micron Technology, Inc. and/or in any related derivatives.

K: Barclays Bank PLC and/or an affiliate has received non-investment banking related compensation (including compensation for brokerage services, if applicable) from Micron Technology, Inc. within the past 12 months.

L: Micron Technology, Inc. is, or during the past 12 months has been, an investment banking client of Barclays Bank PLC and/or an affiliate.

M: Micron Technology, Inc. is, or during the past 12 months has been, a non-investment banking client (securities related services) of Barclays Bank PLC and/or an affiliate.

N: Micron Technology, Inc. is, or during the past 12 months has been, a non-investment banking client (non-securities related services) of Barclays Bank PLC and/or an affiliate.

Valuation Methodology: Our price target of \$145 is based upon 15x our CY25 EPS of \$9.94.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Potential risks include, but are not limited to: (1) more rapid declines in pricing driven by slower growth in demand for flash memory and/or increased industry supply, (2) slower decline in cost per bit as a result of poor execution on the transition to future technology nodes in DRAM.

NVIDIA Corp. (NVDA / NVDA)

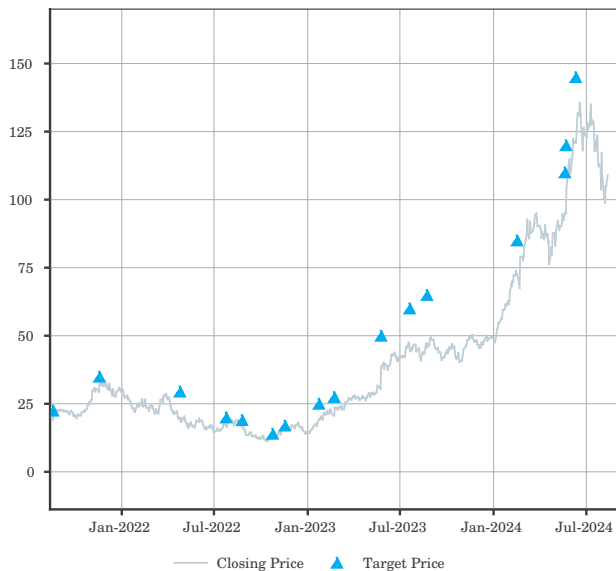
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 116.14** (13-Aug-2024)

Rating and Price Target Chart - USD (as of 13-Aug-2024)

Currency=USD



Source: IDC, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target
10-Jun-2024	1208.88		145.00
22-May-2024	95.39		120.00
20-May-2024	92.48		110.00
16-Feb-2024	72.61		85.00
23-Aug-2023	47.12		65.00
20-Jul-2023	45.52		60.00
25-May-2023	37.98		50.00
22-Feb-2023	20.75		27.50
23-Jan-2023	19.19		25.00
17-Nov-2022	15.68		17.00
24-Oct-2022	12.60		14.00
25-Aug-2022	17.91		19.00
25-Jul-2022	17.02		20.00
25-Apr-2022	19.90		29.50
18-Nov-2021	31.68		35.00
19-Aug-2021	19.80		22.50

On 13-Aug-2021, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 20.50.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

Historical stock prices and price targets may have been adjusted for stock splits and dividends.

CD: Barclays Bank PLC and/or an affiliate is a market-maker in debt securities issued by NVIDIA Corp..

CE: Barclays Bank PLC and/or an affiliate is a market-maker in equity securities issued by NVIDIA Corp..

J: Barclays Bank PLC and/or an affiliate is a liquidity provider and/or trades regularly in the securities by NVIDIA Corp. and/or in any related derivatives.

K: Barclays Bank PLC and/or an affiliate has received non-investment banking related compensation (including compensation for brokerage services, if applicable) from NVIDIA Corp. within the past 12 months.

M: NVIDIA Corp. is, or during the past 12 months has been, a non-investment banking client (securities related services) of Barclays Bank PLC and/or an affiliate.

Valuation Methodology: Our price target of \$145 is based upon 36x our CY25E non-GAAP EPS of \$4.06.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to the downside include a slower ramp in GPUs for AI in the DC, slower recovery in the gaming market, a slower Auto ramp and slower GM improvement.

Disclaimer:

This publication has been produced by Barclays Research Department in the Investment Bank of Barclays Bank PLC and/or one or more of its affiliates (collectively and each individually, "Barclays").

It has been prepared for institutional investors and not for retail investors. It has been distributed by one or more Barclays affiliated legal entities listed below or by an independent and non-affiliated third-party entity (as may be communicated to you by such third-party entity in its communications with you). It is provided for information purposes only, and Barclays makes no express or implied warranties, and expressly disclaims all warranties of merchantability or fitness for a particular purpose or use with respect to any data included in this publication. To the extent that this publication states on the front page that it is intended for institutional investors and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors under U.S. FINRA Rule 2242, it is an "institutional debt research report" and distribution to retail investors is strictly prohibited. Barclays also distributes such institutional debt research reports to various issuers, media, regulatory and academic organisations for their own internal informational news gathering, regulatory or academic purposes and not for the purpose of making investment decisions regarding any debt securities. Media organisations are prohibited from re-publishing any opinion or recommendation concerning a debt issuer or debt security contained in any Barclays institutional debt research report. Any such recipients that do not want to continue receiving Barclays institutional debt research reports should contact debtresearch@barclays.com. Unless clients have agreed to receive "institutional debt research reports" as required by US FINRA Rule 2242, they will not receive any such reports that may be co-authored by non-debt research analysts. Eligible clients may get access to such cross asset reports by contacting debtresearch@barclays.com. Barclays will not treat unauthorized recipients of this report as its clients and accepts no liability for use by them of the contents which may not be suitable for their personal use. Prices shown are indicative and Barclays is not offering to buy or sell or soliciting offers to buy or sell any financial instrument.

Without limiting any of the foregoing and to the extent permitted by law, in no event shall Barclays, nor any affiliate, nor any of their respective officers, directors, partners, or employees have any liability for (a) any special, punitive, indirect, or consequential damages; or (b) any lost profits, lost revenue, loss of anticipated savings or loss of opportunity or other financial loss, even if notified of the possibility of such damages, arising from any use of this publication or its contents.

Other than disclosures relating to Barclays, the information contained in this publication has been obtained from sources that Barclays Research believes to be reliable, but Barclays does not represent or warrant that it is accurate or complete. Appearances by Third-Party Speakers: Any views or opinions expressed by third-party speakers during this event are solely those of the speaker and do not represent the views or opinions of Barclays. Barclays is not responsible for, and makes no warranties whatsoever as to, the information or opinions contained in any written, electronic, audio or video presentations by any third-party speakers at the event ("Third-Party Content"). Any such Third-Party Content has not been adopted or endorsed by Barclays and does not represent the views or opinions of Barclays. Third-Party Content is provided for information purposes only and has not been independently verified by Barclays for its accuracy or completeness.

The views in this publication are solely and exclusively those of the authoring analyst(s) and are subject to change, and Barclays Research has no obligation to update its opinions or the information in this publication. Unless otherwise disclosed herein, the analysts who authored this report have not received any compensation from the subject companies in the past 12 months. If this publication contains recommendations, they are general recommendations that were prepared independently of any other interests, including those of Barclays and/or its affiliates, and/or the subject companies. This publication does not contain personal investment recommendations or investment advice or take into account the individual financial circumstances or investment objectives of the clients who receive it. Barclays is not a fiduciary to any recipient of this publication. The securities and other investments discussed herein may not be suitable for all investors and may not be available for purchase in all jurisdictions. The United States imposed sanctions on certain Chinese companies (<https://home.treasury.gov/policy-issues/financial-sanctions/sanctions-programs-and-country-information/chinese-military-companies-sanctions>), which may restrict U.S. persons from purchasing securities issued by those companies. Investors must independently evaluate the merits and risks of the investments discussed herein, including any sanctions restrictions that may apply, consult any independent advisors they believe necessary, and exercise independent judgment with regard to any investment decision. The value of and income from any investment may fluctuate from day to day as a result of changes in relevant economic markets (including changes in market liquidity). The information herein is not intended to predict actual results, which may differ substantially from those reflected. Past performance is not necessarily indicative of future results. The information provided does not constitute a financial benchmark and should not be used as a submission or contribution of input data for the purposes of determining a financial benchmark.

This publication is not investment company sales literature as defined by Section 270.24(b) of the US Investment Company Act of 1940, nor is it intended to constitute an offer, promotion or recommendation of, and should not be viewed as marketing (including, without limitation, for the purposes of the UK Alternative Investment Fund Managers Regulations 2013 (SI 2013/1773) or AIFMD (Directive 2011/61)) or pre-marketing (including, without limitation, for the purposes of Directive (EU) 2019/1160) of the securities, products or issuers that are the subject of this report.

Third Party Distribution: Any views expressed in this communication are solely those of Barclays and have not been adopted or endorsed by any third party distributor.

United Kingdom: This document is being distributed (1) only by or with the approval of an authorised person (Barclays Bank PLC) or (2) to, and is directed at (a) persons in the United Kingdom having professional experience in matters relating to investments and who fall within the definition of "investment professionals" in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order"); or (b) high net worth companies, unincorporated associations and partnerships and trustees of high value trusts as described in Article 49(2) of the Order; or (c) other persons to whom it may otherwise lawfully be communicated (all such persons being "Relevant Persons"). Any investment or investment activity to which this communication relates is only available to and will only be engaged in with Relevant Persons. Any other persons who receive this communication should not rely on or act upon it. Barclays Bank PLC is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority and is a member of the London Stock Exchange.

European Economic Area ("EEA"): This material is being distributed to any "Authorised User" located in a Restricted EEA Country by Barclays Bank Ireland PLC. The Restricted EEA Countries are Austria, Bulgaria, Estonia, Finland, Hungary, Iceland, Liechtenstein, Lithuania, Luxembourg, Malta, Portugal, Romania, Slovakia and Slovenia. For any other "Authorised User" located in a country of the European Economic Area, this material is being distributed by Barclays Bank PLC. Barclays Bank Ireland PLC is a bank authorised by the Central Bank of Ireland whose registered office is at 1 Molesworth Street, Dublin 2, Ireland. Barclays Bank PLC is not registered in France with the Autorité des marchés financiers or the Autorité de contrôle prudentiel. Authorised User means each individual associated with the Client who is notified by the Client to Barclays and authorised to use the Research Services. The Restricted EEA Countries will be amended if required.

Finland: Notwithstanding Finland's status as a Restricted EEA Country, Research Services may also be provided by Barclays Bank PLC where permitted by the terms of its cross-border license.

Americas: The Investment Bank of Barclays Bank PLC undertakes U.S. securities business in the name of its wholly owned subsidiary Barclays Capital Inc., a FINRA and SIPC member. Barclays Capital Inc., a U.S. registered broker/dealer, is distributing this material in the United States and, in connection therewith accepts responsibility for its contents. Any U.S. person wishing to effect a transaction in any security discussed herein should do so only by contacting a representative of Barclays Capital Inc. in the U.S. at 745 Seventh Avenue, New York, New York 10019.

Non-U.S. persons should contact and execute transactions through a Barclays Bank PLC branch or affiliate in their home jurisdiction unless local regulations permit otherwise.

This material is distributed in Canada by Barclays Capital Canada Inc., a registered investment dealer, a Dealer Member of Canadian Investment Regulatory Organization (www.ciro.ca), and a Member of the Canadian Investor Protection Fund (CIPF).

This material is distributed in Mexico by Barclays Bank Mexico, S.A. and/or Barclays Capital Casa de Bolsa, S.A. de C.V. This material is distributed in the Cayman Islands and in the Bahamas by Barclays Capital Inc., which it is not licensed or registered to conduct and does not conduct business in, from or within those jurisdictions and has not filed this material with any regulatory body in those jurisdictions.

Japan: This material is being distributed to institutional investors in Japan by Barclays Securities Japan Limited. Barclays Securities Japan Limited is a joint-stock company incorporated in Japan with registered office of 6-10-1 Roppongi, Minato-ku, Tokyo 106-6131, Japan. It is a subsidiary of Barclays Bank PLC and a registered financial instruments firm regulated by the Financial Services Agency of Japan. Registered Number: Kanto Zaimukyokucho (kinsho) No. 143.

Asia Pacific (excluding Japan): Barclays Bank PLC, Hong Kong Branch is distributing this material in Hong Kong as an authorised institution regulated by the Hong Kong Monetary Authority. Registered Office: 41/F, Cheung Kong Center, 2 Queen's Road Central, Hong Kong.

All Indian securities-related research and other equity research produced by Barclays' Investment Bank are distributed in India by Barclays Securities (India) Private Limited (BSIPL). BSIPL is a company incorporated under the Companies Act, 1956 having CIN U67120MH2006PTC161063. BSIPL is registered and regulated by the Securities and Exchange Board of India (SEBI) as a Research Analyst: INH000001519; Portfolio Manager INP000002585; Stock Broker INZ000269539 (member of NSE and BSE); Depository Participant with the National Securities & Depositories Limited (NSDL): DP ID: IN-DP-NSDL-299-2008; Investment Adviser: INA000000391. BSIPL is also registered as a Mutual Fund Advisor having AMFI ARN No. 53308. The registered office of BSIPL is at 208, Ceejay House, Shivsagar Estate, Dr. A. Besant Road, Worli, Mumbai – 400 018, India. Telephone No: +91 22 67196363. Fax number: +91 22 67196399. Any other reports produced by Barclays' Investment Bank are distributed in India by Barclays Bank PLC, India Branch, an associate of BSIPL in India that is registered with Reserve Bank of India (RBI) as a Banking Company under the provisions of The Banking Regulation Act, 1949 (Regn No BOM43) and registered with SEBI as Merchant Banker (Regn No INM000002129) and also as Banker to the Issue (Regn No INBI00000950). Barclays Investments and Loans (India) Limited, registered with RBI as Non Banking Financial Company (Regn No RBI CoR-07-00258), and Barclays Wealth Trustees (India) Private Limited, registered with Registrar of Companies (CIN U93000MH2008PTC188438), are associates of BSIPL in India that are not authorised to distribute any reports produced by Barclays' Investment Bank.

This material is distributed in Singapore by the Singapore Branch of Barclays Bank PLC, a bank licensed in Singapore by the Monetary Authority of Singapore. For matters in connection with this material, recipients in Singapore may contact the Singapore branch of Barclays Bank PLC, whose registered address is 10 Marina Boulevard, #23-01 Marina Bay Financial Centre Tower 2, Singapore 018983.

This material, where distributed to persons in Australia, is produced or provided by Barclays Bank PLC.

This communication is directed at persons who are a "Wholesale Client" as defined by the Australian Corporations Act 2001.

Please note that the Australian Securities and Investments Commission (ASIC) has provided certain exemptions to Barclays Bank PLC (BBPLC) under paragraph 911A(2)(l) of the Corporations Act 2001 from the requirement to hold an Australian financial services licence (AFSL) in respect of financial services provided to Australian Wholesale Clients, on the basis that BBPLC is authorised by the Prudential Regulation Authority of the United Kingdom (PRA) and regulated by the Financial Conduct Authority (FCA) of the United Kingdom and the PRA under United Kingdom laws. The United Kingdom has laws which differ from Australian laws. To the extent that this communication involves the provision of financial services by BBPLC to Australian Wholesale Clients, BBPLC relies on the relevant exemption from the requirement to hold an AFSL. Accordingly, BBPLC does not hold an AFSL.

This communication may be distributed to you by either: (i) Barclays Bank PLC directly or (ii) Barrenjoey Markets Pty Limited (ACN 636 976 059, "Barrenjoey"), the holder of Australian Financial Services Licence (AFSL) 521800, a non-affiliated third party distributor, where clearly identified to you by Barrenjoey. Barrenjoey is not an agent of Barclays Bank PLC.

This material, where distributed in New Zealand, is produced or provided by Barclays Bank PLC. Barclays Bank PLC is not registered, filed with or approved by any New Zealand regulatory authority. This material is not provided under or in accordance with the Financial Markets Conduct Act of 2013 ("FMCA"), and is not a disclosure document or "financial advice" under the FMCA. This material is distributed to you by either: (i) Barclays Bank PLC directly or (ii) Barrenjoey Markets Pty Limited ("Barrenjoey"), a non-affiliated third party distributor, where clearly identified to you by Barrenjoey. Barrenjoey is not an agent of Barclays Bank PLC. This material may only be distributed to "wholesale investors" that meet the "investment business", "investment activity", "large", or "government agency" criteria specified in Schedule 1 of the FMCA.

Middle East: Nothing herein should be considered investment advice as defined in the Israeli Regulation of Investment Advisory, Investment Marketing and Portfolio Management Law, 1995 ("Advisory Law"). This document is being made to eligible clients (as defined under the Advisory Law) only. Barclays Israeli branch previously held an investment marketing license with the Israel Securities Authority but it cancelled such license on 30/11/2014 as it solely provides its services to eligible clients pursuant to available exemptions under the Advisory Law, therefore a license with the Israel Securities Authority is not required. Accordingly, Barclays does not maintain an insurance coverage pursuant to the Advisory Law.

This material is distributed in the United Arab Emirates (including the Dubai International Financial Centre) and Qatar by Barclays Bank PLC. Barclays Bank PLC in the Dubai International Financial Centre (Registered No. 0060) is regulated by the Dubai Financial Services Authority (DFSA). Principal place of business in the Dubai International Financial Centre: The Gate Village, Building 4, Level 4, PO Box 506504, Dubai, United Arab Emirates. Barclays Bank PLC-DIFC Branch, may only undertake the financial services activities that fall within the scope of its existing DFSA licence. Related financial products or services are only available to Professional Clients, as defined by the Dubai Financial Services Authority. Barclays Bank PLC in the UAE is regulated by the Central Bank of the UAE and is licensed to conduct business activities as a branch of a commercial bank incorporated outside the UAE in Dubai (Licence No.: 13/1844/2008, Registered Office: Building No. 6, Burj Dubai Business Hub, Sheikh Zayed Road, Dubai City) and Abu Dhabi (Licence No.: 13/952/2008, Registered Office: Al Jazira Towers, Hamdan Street, PO Box 2734, Abu Dhabi). This material does not constitute or form part of any offer to issue or sell, or any solicitation of any offer to subscribe for or purchase, any securities or investment products in the UAE (including the Dubai International Financial Centre) and accordingly should not be construed as such. Furthermore, this information is being made available on the basis that the recipient acknowledges and understands that the entities and securities to which it may relate have not been approved, licensed by or registered with the UAE Central Bank, the Dubai Financial Services Authority or any other relevant licensing authority or governmental agency in the UAE. The content of this report has not been approved by or filed with the UAE Central Bank or Dubai Financial Services Authority. Barclays Bank PLC in the Qatar Financial Centre (Registered No. 00018) is authorised by the Qatar Financial Centre Regulatory Authority (QFCRA). Barclays Bank PLC-QFC Branch may only undertake the regulated activities that fall within the scope of its existing QFCRA licence. Principal place of business in Qatar: Qatar Financial Centre, Office 1002, 10th Floor, QFC Tower, Diplomatic Area, West Bay, PO Box 15891, Doha, Qatar. Related financial products or services are only available to Business Customers as defined by the Qatar Financial Centre Regulatory Authority.

Russia: This material is not intended for investors who are not Qualified Investors according to the laws of the Russian Federation as it might contain information about or description of the features of financial instruments not admitted for public offering and/or circulation in the Russian Federation and thus not eligible for non-Qualified Investors. If you are not a Qualified Investor according to the laws of the Russian Federation, please dispose of any copy of this material in your possession.

Environmental, Social, and Governance ('ESG') Related Research: There is currently no globally accepted framework or definition (legal, regulatory or otherwise) of, nor market consensus as to what constitutes, an 'ESG', 'green', 'sustainable', 'climate-friendly' or an equivalent company, investment, strategy or consideration or what precise attributes are required to be eligible to be categorised by such terms. This means there are different ways to evaluate a company or an investment and so different values may be placed on certain ESG credentials as well as adverse ESG-related impacts of companies and ESG controversies. The evolving nature of ESG considerations, models and methodologies means it can be challenging to definitively and universally classify a company or investment under an ESG label and there may be areas where such companies and investments could improve or

where adverse ESG-related impacts or ESG controversies exist. The evolving nature of sustainable finance related regulations and the development of jurisdiction-specific regulatory criteria also means that there is likely to be a degree of divergence as to the interpretation of such terms in the market. We expect industry guidance, market practice, and regulations in this field to continue to evolve. Any references to 'sustainable', 'sustainability', 'green', 'social', 'ESG', 'ESG considerations', 'ESG factors', 'ESG issues' or other similar or related terms in this document are as used in our public disclosures and not to any jurisdiction-specific regulatory definition or other interpretation of these terms unless specified otherwise.

IRS Circular 230 Prepared Materials Disclaimer: Barclays does not provide tax advice and nothing contained herein should be construed to be tax advice. Please be advised that any discussion of U.S. tax matters contained herein (including any attachments) (i) is not intended or written to be used, and cannot be used, by you for the purpose of avoiding U.S. tax-related penalties; and (ii) was written to support the promotion or marketing of the transactions or other matters addressed herein. Accordingly, you should seek advice based on your particular circumstances from an independent tax advisor.

© Copyright Barclays Bank PLC (2024). All rights reserved. No part of this publication may be reproduced or redistributed in any manner without the prior written permission of Barclays. Barclays Bank PLC is registered in England No. 1026167. Registered office 1 Churchill Place, London, E14 5HP. Additional information regarding this publication will be furnished upon request.